

IGIDR Roundtable on
*Next generation Clearing & Settlement
Systems for India*

Venue: ITC Grand Maratha, near the International Airport, Bombay

3rd July, 2012

A key reform in the financial sector were institutional innovations in the clearing and settlement (C&S) processes for equity market trades, mainly the creation of novation at clearing corporations and dematerialisation at depositories. These reforms facilitated a true national market with anonymous order placement from anywhere. This resulted in the tangible outcomes of a centrally pooled order-flow of equity trades, and volumes that were several orders of magnitude larger than before the reforms.

Similar institutions are now in place for the clearing of commodity derivatives, currency derivatives and debt markets as well. Since they have come into place, the Indian financial markets have seen shocks of large magnitudes, some of which were driven by international factors, some domestic. It speaks well for these reforms in C&S systems that they have withstood all of these shocks and markets have functioned continuously and soundly all through. It is particularly striking that several of the risk management practices, like margin calculation and separation of accounts at the end-customer level, which are firmly in place in the Indian markets, are being considered for implementation in the much larger global securities markets.

However, there are certain areas where the Indian C&S system require new work.

The first stems from a perception that risk in the system is being managed by excessive controls. Such controls translate into high costs and a lower

efficiency of the scarce capital available in the country. Two ways in which lower costs can be achieved are through a two-pronged approach of a better use of technology to lower operational costs, and the use of better models for risk measurement and judicious forecasting of capital requirement. These can become the drivers to push the existing C&S systems to the next phase of efficiency.

The second is that global best practices are focussed on improving the efficiency of financial markets from the perspective of the end customer. Such thinking has led to international regulations such as *Smart Order Routing* and *Interoperability*, which gives the investor the power of choice of where they can trade and, independently, where they can clear and settle their trades. While broad agreement on the potential benefits of such regulations are driving changes in services of international clearing houses and exchanges to their customers, there are related costs of implementation which make them far from fully operational.

The Indian financial systems are far from focussed on how *efficiently* the end customer is able to make financial investment. Today, there is still a strong silo approach of how investors can access to different asset markets. Thus, investors have to go through different channels to access different markets – in terms of different intermediaries, trading-clearing-settlement systems, different tax treatments, etc. These mean differing costs of access, which artificially influence the returns to capital invested. The early reforms in the Indian financial C&S systems built an emphasis on risk measurement and management at the end customer level very early on. However, it remains far away from the focus on whether the customer is able to construct a portfolio in the most capital efficient way possible. It is imperative to keep both these objectives in view while constructing the next level of reforms for financial market C&S systems.

Lastly, there is a greater level of integration between domestic and international financial systems that is available today to Indian firms and investor. The reforms debates must centrally deal with the goal of making the Indian financial sector competitive with the international markets. For this, the international debates and approaches on C&S – such as those discussed and disseminated by global regulators such as BIS and IOSCO – need to be incorporated centrally into the Indian discourse.

Towards this goal, this roundtable focuses on the following:

- A review of the current Indian C&S landscape from the viewpoint of strengths and weaknesses in terms of capital efficiency.
- A review of the risk management system in the equity markets, spot and derivatives.
- A review of the global debate on C&S system reforms where it matters most to the Indian perspective.
- A debate on how to improve capital efficiency while retaining the robustness of risk management.
- Ideally, design an agenda for the next phase C&S reforms with three different horizons of implementation:
 1. *Short-term horizon*: here, the questions should be focussed on how to improve capital efficiency of C&S systems within the current financial sector silos.
 2. *Medium-term horizon*: where the focus is on improving capital efficiency of C&S systems from the perspective of an investor who simultaneously invests across all sectors.

This second horizon of reforms should explicitly take into account the choice of the Indian investor to invest in international markets, and thus should retain a focus on improving the competitiveness of the Indian C&S system with respect to international markets.

Agenda for the roundtable

- 10:00 – 10:10 Introduction
Susan Thomas, *IGIDR FRG*
- 10:10 – 10:40 Improving efficiencies in Indian C&S systems
Rajat Tayal, *IGIDR FRG* and **Poonam Mehra**, *NISM*
- 10:45 – 11:05 Margins systems: performance and efficiency
Renuka Sane, *IGIDR FRG*
- 11:10 – 11:30 Implementing interoperability
Susan Thomas, *IGIDR FRG*
- 11:35 – 11:55 The professional clearing member
Adil Patrawala, *Quant Transactional Service*
- 12:00 – 13:00 Panel and Floor Discussion
Jayesh Mehta, *Bank of America Merrill Lynch*
Ravi Narain, *NSE*
G. Padmanabhan, *RBI* (TBC)
S Ramann, *SEBI*
Siddhartha Roy, *CCIL*
- 13:00 – 14:00 Lunch